adequate to take care of retirements of property when and as they occur. Over any long period of time, proper depreciation and proper retirement allowances should total the same amount. But a retirement reserve policy apparently permits arbitrary annual variations, to reflect good or bad earnings or the expected near term need for actual retirements. In reality, as will be seen, the majority of retirement reserve policies operate simply to understate the current loss of property value and thus to overstate the earnings. Various bases of calculating retirement reserves are as follows:

4. *Percentage of Gross.* This method would tend to approximate a regular depreciation rate if the percentage taken were adequate. Generally this is not the case.

Example: Duquesne Lighting Company deducts 8% of gross. On the other hand, its income tax deduction for 1932–1934 equaled no less than 30% of gross.

5. *Fixed Rate per Unit of Product.* This method clearly resembles the preceding and is subject to the same criticism.

Examples: In 1932 Brooklyn Union Gas Company stated that it was reserving 3 cents per thousand cubic feet for retirements. (This policy has since been changed.) Cincinnati Gas and Electric Company stated in 1937 that it was making provision for retirement reserve at the rate of 5 cents per thousand cubic feet of gas sold and $2.70 per thousand kilowatt-hours of electricity sold.

6. *Over-All Percentage of Gross for Maintenance and Depreciation Combined*. By this method the larger the amount spent for maintenance the less is reserved for depreciation.[8]

Examples: Third Avenue Railway used a 20% deduction for maintenance and depreciation combined for the years 1912–1918. Tidewater Power Company uses varying total rates for different services, *viz.* (in 1936): Gas and Electric, 15%; Water, 12%; Railway; 30%.

7. *Discretionary Deductions.* The majority of companies following the retirement reserve method have been bound by no mathematical formula but have based the annual deduction largely on the judgment of the management.

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[8] Although this policy is not generally followed by companies in their own accounting, it is frequently met in the minimum requirements imposed by bond indentures and also in those imposed by the S.E.C. as a condition to the approval of new bond issues under the Public Utility Holding Company Act of 1935.